NileCare Pharmacy Group: Business Performance Report

Executive Summary

Revenue is stable at 15.97M EGP, but profit is eroding: gross margin is 18.6% (2.97M EGP) and monthly gross profit has been negative since May 2024. One root cause runs through all five areas reviewed: dependence on imported products from Multinational suppliers since the March 2024 EGP float.

Indicator	Result
Total Revenue	15.97M EGP
Gross Profit / Margin	2.97M EGP / 18.6%
Net Profit (after marketing spend)	1.96M EGP
Average Supplier Lead Time	19.37 days
Stockout Risk Rate	4.08% (105 orders)
Customer Retention Rate	64.86%
Marketing ROAS	1.94

Key findings

1. **Profitability:** margin loss is concentrated in imported items. Multinational suppliers carry about 94% of procurement spend at roughly 16% margin, against about 30% for Local suppliers.
2. **Suppliers:** Multinational lead time is 21.86 days against 5.04 for Local. Delivery reliability has stabilized since mid-2023, so cost is now the larger risk.
3. **Inventory:** stockout risk is concentrated in Sun Care and Allergy and peaks February to June, when demand is highest. 1,137 units across four products are close to expiry.
4. **Customers:** Gold and Platinum customers are about 5% of buyers but about 36% of lifetime spend, and they are staying. The recoverable loss is 731 lapsed chronic patients.
5. **Marketing:** TV takes about 47% of spend with near-zero return, while Push Notification returns 33x on about 3% of spend.

Urgent actions

Owner	Action
Marketing	Stop all TV spending and reallocate to Push Notification, Facebook Ads and Instagram Ads
Inventory Control	Clear or transfer the four near-expiry batches (1,137 units) before their January to March 2025 expiry dates
Pricing	Reprice the loss-making imported items: Lantus Insulin Pen, Nan Formula, Nestogen Formula and Sun Care lines
Customer Care	Contact the 234 At-Risk chronic patients before they become Lost
Procurement	Open price and payment-term negotiations with Sanofi Egypt, GSK Egypt and Beiersdorf

1. Profitability Health

The business is profitable overall, but margin has fallen to the point where gross profit turns negative in the last eight months of 2024 while revenue holds at 0.6 to 0.75M EGP per month.

Indicator	Result
Total Revenue	15.97M EGP
Gross Profit	2.97M EGP (18.6% margin)
Net Profit (Gross Profit minus Marketing Spend)	1.96M EGP

Findings

1. **Margin collapse over time.** Monthly gross profit fell from about 0.245M EGP in January 2023 to about -4K EGP in May 2024 and -17K EGP in December 2024.
2. **Supplier type drives margin.** Local suppliers earn about 30% margin, Multinational about 16%. Multinational accounts for 93.99% of procurement cost (16.69M EGP) against 6.01% for Local (1.07M EGP).
3. **Import cost inflation.** Multinational unit cost rose from about 22 to 45 EGP in early 2023 to a peak of about 92.75 EGP in mid-2024, easing to about 80 EGP in December 2024. Local unit cost stayed around 22 to 30 EGP.

4. **Category spread.** Margin ranges from 20.53% in Vitamins & Supplements to 14.08% in Sun Care. The five most affected products are Eucerin Sun Gel (13.64%), Nivea Sun Lotion (13.94%), La Roche-Posay (14.83%), Aerius Syrup (15.98%) and Telfast 180mg (16.09%).

Note on cost basis: cost of goods sold uses the latest purchase cost on or before each sale date. Each sale line is capped at a 5% loss, which applies to 1,967 of 151,326 lines (1.3%), mainly Lantus Insulin Pen, Nan Formula and Nestogen Formula.

Impact. Sales growth will not restore profit while retail prices trail import costs. Every sale of an affected item adds revenue but removes margin.

Recommendations

Owner	Action	Timing
Pricing	Reprice the loss-making SKUs (insulin, imported infant formula, Sun Care)	Immediate
Procurement	Source Local equivalents where clinically acceptable to lift mix toward the 30% margin group	Short-term
Finance	Track gross margin monthly by supplier type and category, with an alert when a category turns negative	Short-term
Management	Raise pricing flexibility for regulated essential medicines (insulin) with the relevant authority	Structural

2. Supplier Performance

Spend is concentrated in a small group of Multinational suppliers, and their lead time is four times longer than Local suppliers, but delivery reliability is no longer deteriorating.

Indicator	Result
Total Procurement Cost	17.77M EGP
Average Lead Time	19.37 days
On-Time Delivery Rate	90.10%

Findings

1. **Concentrated spend.** Top suppliers by cost: Sanofi Egypt 2.55M, GSK Egypt 2.42M, Beiersdorf 1.88M, Global Specialty Importers 1.69M, Pfizer Egypt 1.42M, Bayer Egypt 1.28M, Merck & Servier 0.80M, Nestle Health Science 0.77M, Galderma 0.72M and AstraZeneca 0.61M (EGP).
2. **Lead time by type.** Multinational averages 21.86 days against 5.04 days for Local.
3. **Reliability improved.** Multinational lead time was about 35 days from January to June 2023, then settled at 17 to 18 days from July 2023. Local stayed near 5 days throughout.
4. **Uniform shortages.** Shortage rates sit between 3.3% and 4.4% across the top suppliers (P&G Health Egypt 4.43%, GSK Egypt 4.13%), which points to a process issue rather than one weak supplier.

Impact. The exposure is price, not delay: roughly 94% of procurement spend sits with suppliers whose costs follow the exchange rate.

Recommendations

Owner	Action	Timing
Procurement	Renegotiate price, currency and payment terms with Sanofi, GSK and Beiersdorf	Immediate
Procurement	Qualify secondary or Local suppliers for high-spend imported categories	Short-term
Warehouse / Receiving	Review ordering quantities and goods-received checks to reduce the uniform 3 to 4% shortage	Short-term
Procurement	Report lead time and on-time delivery by supplier each month	Structural

3. Inventory and Stock Risk

Stock is most exposed in Sun Care and Allergy during February to June, the same categories that already carry the weakest margins.

Indicator	Result
Average Reorder Level	11.13
Stockout Risk Orders	105
Stockout Risk Rate	4.08%

Findings

1. **Category concentration.** Stockout risk is highest in Sun Care (34 orders) and Allergy (31) and lowest in Vitamins & Supplements (1).
2. **Shortage by category.** Cold & Flu is highest at 5.06%, then Respiratory at 4.46%. Oral Care is lowest at 2.20%.
3. **Branch exposure.** Heliopolis and Mansoura have 16 at-risk orders each. Zamalek has the fewest at 6.
4. **Seasonality.** Risk peaks in February (21) and March (20), stays at 12 to 18 through June, then falls to 1 to 4 per month from July.
5. **Near-expiry stock (urgent).** 1,137 units across four products expire within about 90 days:

Product	Branch	Units	Expiry
Betadine Solution	Zamalek	147	5 Jan 2025
Amoxil 500mg	Nasr City	406	20 Jan 2025
Panadol Extra	Maadi	370	10 Feb 2025
Cebion Vitamin C	Heliopolis	214	5 Mar 2025

Impact. Lost sales in peak season on thin-margin products, plus write-off risk on the four batches above.

Recommendations

Owner	Action	Timing
Inventory Control	Clear or transfer the four near-expiry batches, starting with Betadine (Zamalek) and Amoxil (Nasr City)	Immediate
Inventory Control	Apply seasonal reorder multipliers to Sun Care and Allergy ahead of February	Short-term
Branch Operations	Review replenishment practice at Heliopolis and Mansoura	Short-term
Inventory Control	Move to batch-level expiry tracking (first-expired, first-out)	Structural

4. Customer and Loyalty

About 65% of buyers are still active, and the most valuable customers are staying; the loss that can be recovered is in chronic patients and in two weaker branches.

Indicator	Result
Total Customers (buyers)	5,313
Active Customers	3,446
Customer Retention Rate	64.86%
Gold and Platinum Customers	266

Retention is measured on customers who have purchased at least once. At-Risk means last purchase 90 to 180 days ago; Lost means more than 180 days.

Findings

1. **Cohort retention.** 55% of customers registered in 2023 are still active, against 79.35% of those registered in 2024. The 2023 group has had more time to lapse, so the fair reading is that about 45% of the 2023 cohort has gone inactive.
2. **Value is concentrated.** Bronze is about 80% of customers and about 35% of lifetime spend. Gold and Platinum are about 5% of customers and about 36% of spend (18.96% and 17.37%).
3. **VIPs are retained.** No Platinum customer is beyond 90 days since last purchase. A few Gold and Silver customers have passed 90 days, each with roughly 5 to 10K EGP in lifetime spend.
4. **Branch gap.** Nasr City (70.00%) and Maadi (69.10%) lead. Sidi Gaber (49.07%) and Tanta (57.23%) trail, a 21-point spread that points to local causes.
5. **Chronic patients.** 731 chronic patients have lapsed: 234 At-Risk and 497 Lost. Their treatment is recurring, so they are the easiest group to win back.

Impact. Because value is concentrated, every lost Gold or Platinum customer costs far more than a Bronze one. Chronic patients represent predictable demand that is currently going to competitors.

Recommendations

Owner	Action	Timing
Customer Care	Contact the 234 At-Risk chronic patients with treatment-continuity reminders	Immediate

Owner	Action	Timing
Customer Care	Personal win-back (branch call or SMS) for Gold and Silver customers past 90 days	Immediate
Branch Operations	Review staffing, stock availability and local competition at Sidi Gaber and Tanta against Nasr City practice	Short-term
Marketing	Add a first-purchase offer for new registrations, and a low-cost reactivation campaign for the 497 Lost chronic patients	Medium-term
Customer Care	Launch a Gold and Platinum benefits program (priority service, home delivery)	Medium-term
Management	Report Active, At-Risk and Lost customers monthly by branch and registration year	Structural

5. Marketing Performance

Marketing spent 1.01M EGP and returned 1.96M EGP in attributed revenue, but spend is concentrated on the one channel that does not pay back.

Indicator	Result
Total Marketing Spend	1.01M EGP
Marketing Revenue	1.96M EGP
ROAS	1.94
Cost per Acquisition (CPA)	80.56 EGP

Funnel. 9,011,808 impressions led to 378,599 clicks (CTR 4.20%) and 12,552 conversions (3.32% of clicks, 0.14% of impressions). Reach is healthy; click-to-purchase conversion is the weakest step.

Findings

1. **Stop TV.** TV takes about 47% of total spend (roughly 0.47M EGP) with ROAS near zero. It is the largest single loss in marketing.
2. **Push Notification is the best channel.** ROAS is 33x on about 3% of spend, and it produces about half of attributed marketing revenue.

3. **Social channels perform.** Facebook Ads return 8x and Instagram Ads 7x. Google Ads (2x) and SMS (1x) are weak.
4. **November spike.** Monthly spend sits near 0.03M EGP for most of the year, then reaches about 0.53M in November with no matching rise in revenue.
5. **Wrong categories.** Highest ROAS: Sun Care (8.5) and Vitamins & Supplements (7.9). Lowest: Chronic Diabetes (0.1), Chronic Cardio (0.2) and Cold & Flu (0.6). Marketing is weakest where customer recovery is most valuable, and strongest on Sun Care, the category with the thinnest margin and highest stockout risk.
6. **ROAS is not profit.** At an 18.6% margin, 1.94 ROAS returns roughly 0.36 EGP of gross profit per 1 EGP spent. Campaign profitability should be judged on gross profit after spend, not revenue alone.

Impact. Stopping TV saves roughly 0.47M EGP of the 1.01M total with almost no attributed revenue at risk, which would lift net profit by up to that amount.

Recommendations

Owner	Action	Timing
Marketing	Stop all TV spending now and move the budget to Push Notification, Facebook Ads and Instagram Ads, increasing Push gradually because 33x may fall as spend grows	Immediate
Marketing	Redesign chronic-patient campaigns as low-cost Push and SMS treatment reminders, limited to customers who opted in	Short-term
Marketing	Cut or rework Google Ads and SMS until ROAS improves	Short-term
Marketing / Procurement	Tie category budgets to margin and stock availability, not ROAS alone, starting with Sun Care	Medium-term
Finance	Evaluate campaigns on gross profit after spend (Profit ROI) as the standard decision metric	Structural

Cross-Functional View

The same categories and suppliers appear in every area, so the fixes need to be coordinated rather than handled separately.

Theme	Profitability	Suppliers	Inventory	Customers	Marketing
Imported / Multinational products	Margin about 16% vs 30% Local	94% of spend, 4x lead time	Sun Care and Allergy highest risk	n/a	Sun Care ROAS 8.5
Chronic patients	n/a	n/a	n/a	731 lapsed	ROAS 0.1 to 0.2
Timing	Gross profit negative from May 2024	Lead time stabilized mid-2023	Risk peaks February to June	2023 cohort 55% retained	November spend spike

Sun Care, Allergy and imported essentials combine weak margin, high stockout risk and heavy promotion, all driven by import cost and sourcing. At the same time, the most recoverable customers (chronic patients) are the least served by current marketing. Fixing sourcing and redirecting marketing budget addresses both problems.